BATCH.
GELATO

INVESTOR
INFORMATION PACK

GELATO MADE IN SMALL BATCHES.

Establishing a premium gelato brand at reduced risk, before scaling.

Gelato made at a modest scale with premium Italian ingredients and equipment. This document sets out the case for a modest, capital-efficient first phase business plan — and for scaling the business from there towards an identified sales channel through this journey.

R320,000	**65%**	**Aug 2028**
CAPITAL SOUGHT · PHASE 1	GROSS MARGIN · 500ML TUB	LOAN REPAID BY

CAPE TOWN · JULY 2026 · PREPARED BY MUHAMMED KOLABHAI

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SECTION 01

Executive summary

BATCH. is a small-batch gelato business based in Cape Town. The product is made using premium Italian ingredients and equipment, and sold in tubs — 500ml for home consumption and smaller cups for markets and events. The business begins at a modest scale, producing from a home kitchen on a single commercial machine, and is structured to grow toward a gelato and coffee store, and in time a group of stores supplied by one central kitchen.

This is a capital loan of **R320,000**, not an investment for a share of the business. The capital funds the equipment, ingredients, certification and brand work required to begin production and reach first sales, and is repaid in full from trading profit. Trading begins late in 2026; repayment runs from April 2027 and clears the full amount by August 2028.

The purpose of this phase is to establish the brand and identify how best to scale it. There is demand for good gelato in Cape Town — the question is which channel to build around. The options are events, a store, supplying larger businesses such as hotel groups, supplying stockists, or a combination of these. This phase establishes the brand at a reduced risk and reveals the strongest path before larger capital is committed.

A store carries rent, staff and a substantially larger machine. It is justified once the business has established its path and its brand — not simply once a product has sold. This phase provides that foundation at a limited cost and a limited risk.

The opportunity at a glance

R320,000 CAPITAL SOUGHT · PHASE 1	**R1,038,600** TURNOVER · FIRST 22 MONTHS	**R608,520** GROSS PROFIT · 59% BLENDED
R441,320 NET PROFIT	**2,070 L** GELATO PRODUCED & SOLD TO RECOVER LOAN	**~9 hrs** APPROX. PRODUCTION PER WEEK

Repayment period: April 2027 – August 2028.

KEY POINT

The operator retains full-time employment throughout Phase 1 and draws no salary from the business. This keeps fixed costs low and means the business can trade slowly, or pause, at minimal cost — the central reason the risk is contained.

SECTION 02

The business

What it is

BATCH. intends to produce gelato in small batches and sell it directly to the public and to retailers. Gelato is a more premium product than ice cream — it is churned at a slower speed and served at a slightly warmer temperature, which gives a denser texture and a more intense flavour. It requires more premium equipment from the outset to produce that quality. The recipes, machinery and flavour bases are sourced from Italy through a single South African supplier, which also provides equipment training and access to a consulting chef for recipe development.

How it operates

Production takes place in a home kitchen on one commercial batch freezer. Gelato is made in advance, frozen, and sold over the following weeks — it is not made to daily order. This is what allows the business to run alongside full-time employment: production is scheduled into evenings and weekends rather than tied to trading hours.

Four channels, four buyers

The product reaches customers through four channels, each serving a different type of buyer.

Direct orders

Marketed through social media and word of mouth, taken by phone, WhatsApp or Instagram, and collected — with delivery arranged on large orders. The highest-margin channel, as no commission is paid.

Uber Eats

Provides immediate access to a large customer base. The platform charges commission, which is built into the listed price so the amount received remains consistent.

Retail stockists

Coffee shops, restaurants, takeaways and bakeries that stock BATCH. tubs in their own freezers. Lower margin but steady volume and valuable brand visibility. A small branded freezer is provided to each stockist.

Markets and events

Weekend markets and private functions. Markets build brand awareness; events are a higher-value service offering.

WHERE IT IS GOING

The long-term objective is a gelato and coffee store, and ultimately a group of stores supplied by one central kitchen. The business starts at a modest scale with the ambition of scaling into a substantial brand. The focus of this phase is a premium product that can then be scaled.

SECTION 03

The market

The food and market industry in Cape Town is growing rapidly. The number of markets open to small businesses is rising, and new food establishments continue to open. Within this, the dessert industry is growing — particularly the Halal market, following the trends already established in Johannesburg and Durban.

The Cape Town gelato market is dominated by a select few. Established names include Moro Gelato and Gelato Mania, alongside ice cream brands such as Kirsten's Kick Ass. The Creamery, owned by Food Lover's Market, has announced its closure. Baglios — a long-standing brand once in Sandton City, then Durban, and recently arrived in Cape Town — has also entered the market with an attached coffee brand. Baglios, Moro Gelato and Gelato Mania dominate the Sea Point and Green Point area.

Pricing among these brands is high. Moro Gelato retails a 500ml tub at approximately R209 in-store. Scoops across the market sit at around R60 to R75 a cup. BATCH. intends to enter at **R190 for a 500ml tub** — more competitive than the established leaders, while preserving a healthy margin.

R209	Moro Gelato 500ml, in-store
R190	BATCH. 500ml, direct
R60–R75	Single scoops across the market

TO CONFIRM

Competitor pricing will be verified directly on Uber Eats and in-store — including tub sizes, as some brands sell by weight rather than volume, and any bundled offers — so that BATCH. pricing is set against current, accurate figures.

SECTION 04

The capital

Phase 1 requires **R320,000**. This funds everything needed to begin production and reach first sales. The single largest item is the batch freezer, which accounts for 53% of the total.

ITEM	AMOUNT	NOTES
Cubo 2 batch freezer	**R170,000**	The gelato machine. One unit in stock with the supplier.
Storage freezer (500L)	**R11,000**	Commercial chest freezer for finished stock.
Blender	**R8,000**	For preparing and emulsifying the mix.
Small equipment	**R14,000**	Table, scales, thermometer, pitchers, containers.
Packaging R&D	**R5,000**	Artwork, sample runs and testing of tubs and labels.
First production packaging	**R7,000**	A first import order of 500ml tubs — approximately 1,000 units.
Recipe development ingredients	**R12,000**	Trial batches during R&D.
First production ingredients	**R20,000**	Approximately 281 litres — roughly 560 × 500ml tubs of sellable stock.
Halaal certification (MJC)	**R5,000**	Required for the target market.
Branding	**R5,000**	Brand identity.
Display stand & freezer (allowance)	**R38,000**	A small display stand and freezer for trading at markets.
Contingency	**R25,000**	Buffer for cost variances.
Total capital required	**R320,000**	

PROTECTION ON THE LOAN

The majority of the capital is spent on equipment with a resale market — principally the Italian batch freezer, an industrial machine that holds its value. Should the business not proceed, it can be sold to recover part of the loan.

ESTIMATES TO CONFIRM

Only the batch freezer is a firm supplier quote. The storage freezer, packaging, small equipment and certification are working estimates, to be confirmed with formal quotes before funds are drawn. The 500ml tub in particular drives the whole margin: if a polystyrene tub is imported from Italy — as Moro Gelato and Gelato Mania do — a minimum order of around R7,000 applies.

SECTION 05

Products and pricing

The product is sold in three retail formats plus an event service. Costs below include ingredients, packaging and an 8% allowance for waste, which covers failed batches, spoilage and testing.

	500ML TUB	3-PACK (3×175ML)	175ML CUP
Gelato	R48.11	R50.52	R16.84
Packaging	R14.00	R15.00	R3.50
Waste allowance (8%)	R5.05	R5.24	R1.63
Cost to produce	**R67.08**	**R70.76**	**R21.97**
Selling price	**R190.00**	**R195.00**	**R65.00**
Gross profit	**R122.92**	**R124.24**	**R43.03**
Margin	65%	64%	66%

How the costs are built

Ingredient cost comes from the supplier's costing calculator, which prices gelato per 70g portion including a 35% allowance for consumables such as electricity and water. This is scaled to each tub's actual weight — a 500ml tub holds roughly 380g of gelato. Packaging is added, then the 8% waste allowance is applied to the total.

THE FORMULA

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gross profit = selling price − ((gelato cost per gram × grams) + packaging) × 1.08
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A note on packaging

The 500ml tub uses polystyrene, some of which is imported from Italy. While not the most sustainable material, it retains the temperature of the gelato for longer, which makes delivery easier and reduces melting in transit. The 3-pack and 175ml cups are locally sourced.

Channel pricing

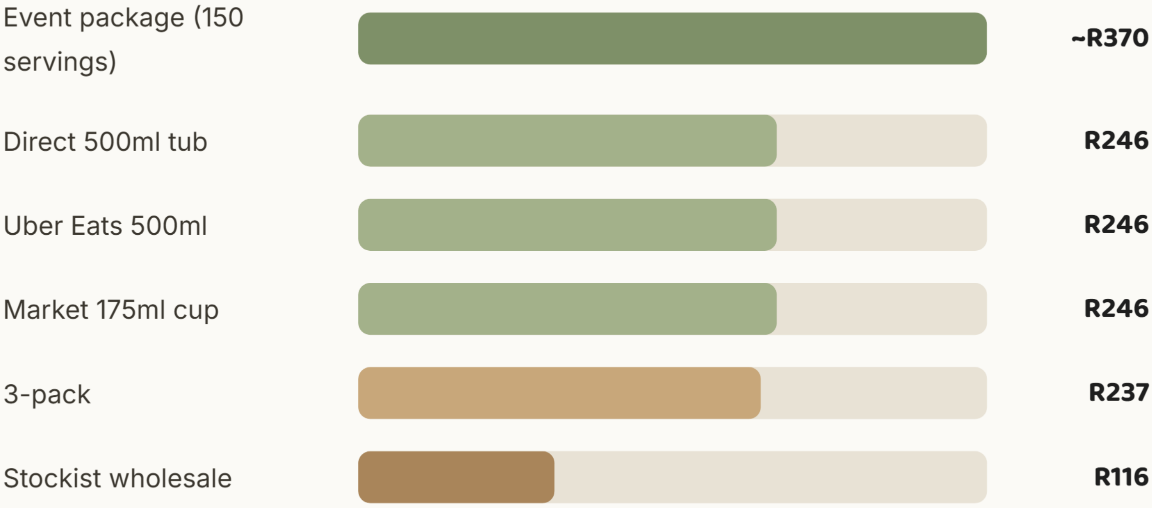
The 500ml tub is priced at R190 through direct channels, a 65% margin. On Uber Eats it is listed higher to absorb the platform's commission, so the amount received remains R190. Stockists buy at a wholesale price of around R125 — a 46% margin to BATCH. (speculative at this point) — which leaves them room to retail at a healthy margin of their own.

SECTION 06

Revenue streams

Because production capacity is limited in Phase 1, the value of each channel is measured as profit per litre of gelato produced. On that basis, events are the most valuable use of capacity and stockists the least, though each plays a role.

PROFIT PER LITRE OF GELATO PRODUCED



Margins by channel: direct and Uber Eats 65% · market cup 66% · 3-pack 64% · stockist wholesale 46%. An event returns a minimum of ~R5,000 in profit.

This ordering informs strategy: events and direct sales are prioritised, stockists are used for visibility and baseline volume rather than as the main earner, and markets are treated primarily as brand-building. It also explains the sequencing in the launch plan — the highest-value channels are developed as capacity and demand allow.

THE EVENT PACKAGE

Events are sold as a package: a hire fee plus a minimum number of servings, starting at R10,500 for 150 servings. The hire fee covers delivery, setup, dry ice, electricity and serving staff, and the balance is the gelato itself. Run efficiently, an event returns a minimum of **R5,000 in profit** for 3–5 hours of serving.

SECTION 07

Financial projections

The projection covers the first 22 months, from the soft launch in November 2026 to August 2028. Sales are expected to be modest and sporadic at first, while packaging, flavours and operations are settled. A more uniform pattern is expected from March 2027. Profit from the early months is retained in the business as working capital, and repayment of the loan begins in April 2027.

R1,038,600
TURNOVER

R608,520
GROSS PROFIT · 59% BLENDED

R441,320
NET PROFIT

2,070 L
GELATO SOLD · 4,140 TUBS

22 months
NOV 2026 – AUG 2028

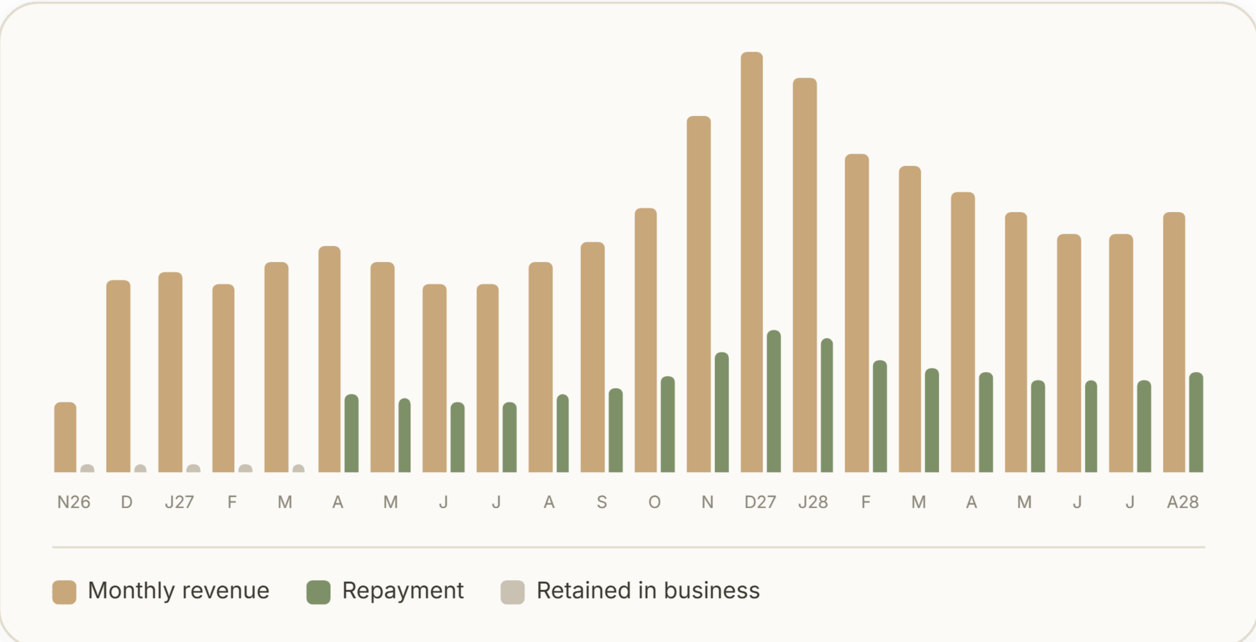
R167,200
OPERATING COSTS

R320,000
CAPITAL REPAID

R121,320
RETAINED IN BUSINESS

Monthly sales & repayment

Gross profit blends the 500ml product margin (65%) with lower-margin wholesale supply and the servicing cost of events. Revenue is shown in caramel, the repayment made that month in pistachio; the first months (November 2026 to March 2027) are retained in the business.



Monthly sales targets

The figures below show the most conservative expected volume, revenue and repayment in each month. The first months (November 2026 to March 2027) are retained in the business; repayment begins in April 2027.

MONTH	TUBS (500ML EQ.)	REVENUE	REPAYMENT
Nov 2026	70	**R13,300**	*retained*
Dec 2026	140	**R37,100**	*retained*
Jan 2027	145	**R38,050**	*retained*
Feb 2027	135	**R36,150**	*retained*
Mar 2027	155	**R39,950**	*retained*
Apr 2027	170	**R42,800**	R15,456
May 2027	155	**R39,950**	R14,394
Jun 2027	135	**R36,150**	R13,968
Jul 2027	135	**R36,150**	R13,968
Aug 2027	155	**R39,950**	R15,384
Sep 2027	175	**R43,750**	R15,810
Oct 2027	210	**R50,400**	R18,288
Nov 2027	245	**R67,550**	R22,776
Dec 2027	310	**R79,900**	R27,378
Jan 2028	285	**R75,150**	R25,608
Feb 2028	265	**R60,850**	R21,192
Mar 2028	250	**R58,000**	R20,130
Apr 2028	225	**R53,250**	R19,350
May 2028	205	**R49,450**	R17,934
Jun 2028	185	**R45,650**	R17,508
Jul 2028	185	**R45,650**	R17,508
Aug 2028	205	**R49,450**	R18,924 †

† The final month settles the small remaining balance to clear the loan in full by August 2028.

SECTION 08

Operating costs

Operating costs are in two parts: fixed costs that apply each trading month, and variable costs that are only incurred per event or per market day. Variable costs are worked backwards from the profit each activity should return. The operator handles marketing and social media, so no marketing cost is carried.

Fixed costs — R2,700/mo

Per trading month

Electricity (freezers running)	R1,500
Consumables	R300
Miscellaneous	R900
Total	**R2,700**

Event — 150 servings — R5,000 profit

Variable costs, worked backwards from target profit

Package price	R10,500
Less gelato and cups	−R2,251
Less staff, delivery, dry ice, electricity	−R3,249
Profit per event	**R5,000**

MARKET DAY

A market has no hire fee, so profit comes only from what is sold on the day. At roughly R43 profit per 175ml cup, about 38 cups cover the day's cost, and around 60 cups returns R1,000 above it. Markets are therefore treated as a brand-building channel that largely covers its own costs, rather than a profit centre — consistent with their role in the plan.

WHY THIS SPLIT MATTERS

Because most of the cost base applies only when trading actively, the business can trade cheaply in quiet months and scale its costs up only when demand justifies them.

SECTION 09

Production and people

Gelato is made in batches, frozen, and sold over the following weeks. The batch freezer produces roughly 8 litres of finished gelato per hour of practical output. From around March 2027, when a uniform pattern of sales is established, production runs at approximately 9 hours per week to match the sales targets, rising to about 12 by the second summer.

The operator's role is production and oversight. Full-time employment is retained throughout, and no salary is drawn from the business in this phase — both of which keep fixed costs low and the risk contained.

As markets and events become regular, one to two staff are engaged to run the stand, handle deliveries and serve at functions. This cost is carried per market day and per event, not as a fixed monthly salary. It frees the operator's limited hours to focus on production, which is the constraint on how much the business can sell.

8 L / hr

Practical output of the batch freezer

~9 hrs / wk

From March 2027 · ~12 by second summer

R0 salary

Drawn by the operator in Phase 1

CAPACITY

At roughly 8 litres per hour, one machine operated part-time comfortably meets the Phase 1 targets. Should demand require it, adding production help — funded from trading — is what unlocks the larger volumes in a possible second phase.

SECTION 10

Launch plan

The batch freezer is available now, which removes the main timing risk. The plan builds through the second half of 2026 toward trading in the summer market season, without rushing — the intention is to grow organically rather than force everything into three months.

August	Procure and install the machine. Supplier training. Recipe development begins.
September	Develop packaging. Research the market. Develop flavours. Establish the brand and begin creating demand. Send out samples.
October	First production runs, mid-to-late month. Approach stockists and understand the selling platforms — Uber Eats and direct. Identify markets and possible vendor spots, including beaches, and research the city permits required to trade as a vendor.
November	Trial a market to test operations. Uber Eats listing goes live. Stock built ahead of December.
December	**Launch into markets and begin selling across channels.** Larger markets take applications around three months ahead, so trading may begin at smaller markets first.
January on	Full trading across all channels — direct orders, Uber Eats, stockists, markets and events.

APPROACH

The business starts small and grows organically. Rather than committing to one large market from the outset, it will build presence where it can, learn, and scale into larger opportunities as they open. Repayment of the loan begins in April 2027.

SECTION 11

Repayment

The capital is repaid from a share of trading profit rather than on a fixed schedule that takes no account of the season. The structure is:

A minimum of R12,000 per month, plus 60% of any net profit above that minimum.

Repayment begins in April 2027 and, on the projected figures, clears the full R320,000 by August 2028.

This structure is designed so that repayment never exceeds what the business has earned. In a strong summer month a larger payment is made; in a quiet winter month the payment falls to the minimum. This protects the business from being forced into debt during quieter periods, while returning the capital as quickly as trading allows.

WORKING CAPITAL

Profit from the first months of trading — November 2026 to March 2027, approximately R51,000 — is retained in the business rather than paid out. This funds ingredient purchases ahead of sales and provides a working-capital buffer for early scaling before repayment begins.

SECTION 12

A possible second phase

A second phase is not part of the current request. It is outlined here so the full direction of the business is visible. It would be pursued only if trading in Phase 1 demonstrates that expansion is necessary — consistent sales, event bookings that must be turned away for lack of a proper cart, and stockists requesting more than can be supplied.

If activated, the second phase would require approximately **R200,000**:

ITEM	AMOUNT
Market cart (custom build with integrated freezer)	**R125,000**
Blast freezer (for expanding product range — gelato sticks, cakes etc)	**R50,000**
Marketing push (includes gelato sampling)	**R10,000**
Ingredients and packaging at increased volume	**R10,000**
Contingency	**R5,000**
Total (Phase 2, if pursued)	**R200,000**

This phase would be funded either from accumulated trading profit or as a separate request. Either way, it is a decision taken from a position of established demand rather than projection.

SECTION 13 · THE LONGER-TERM VISION

A store

The end goal is a gelato and coffee store, located in a high foot-traffic area — Sea Point, Green Point, Newlands, Claremont, Constantia, Muizenberg, Simon's Town, Durbanville, Stellenbosch, Paarl, or further afield in George and Knysna. In time, one central production kitchen could supply a group of stores.

A store trades on three products rather than one, which is what makes the format work commercially:

~75%

Coffee

Sells year-round and drives daily footfall.

~63%

Gelato

The signature product customers come for.

~60%

Desserts & waffles

Increases the average spend per visit.

Coffee is the key to the store model. It sells during portions of the day when gelato sales decrease and brings people in daily rather than occasionally, smoothing the seasonality that constrains a gelato-only business. Blended across the three, a store earns roughly a **68% gross margin** per customer.

The central-kitchen structure is what makes the brand scalable. Production cost is spread across every store, and each additional store adds revenue without needing its own gelato machine — the expensive equipment is bought once and shared.

IMPORTANT

A store carries high fixed costs — rent, staff, utilities — and requires a substantially larger batch freezer than the machine funded in Phase 1. Its economics are modelled separately when a site is chosen, and it is a separately funded stage, not part of this request. The store follows only once the brand is established.

SECTION 14

Risks and mitigation

The principal risks to the business, and the measures in place to manage each. Further risks will be added as market research is completed.

RISK	MITIGATION
Recipe development takes longer than planned	The supplier provides a consulting chef and machine training. Low fixed costs mean a slower start is affordable — it is better to delay than to sell an inferior product.
Product consistency varies between batches	Italian stabilisers control texture and shelf life by design. The variable is flavour development and the cost of real ingredients. Recipes are documented once settled.
Product melts in transport	Dry ice and delivery costs are built into pricing. Collection and stockist channels are favoured early. Polystyrene tubs hold temperature longer. Provision is made for freezers at stockists.
Sales decline in winter	The business launches into summer to build a base first. Stockists and events sustain trading through winter.
Reliance on a single ingredient supplier	Six to eight weeks of buffer stock is held once recipes are set, and an alternative supplier is identified.
Equipment failure	The machine is bought new with a one-year guarantee. The supplier holds parts locally, so a breakdown is a short interruption. Equipment is insured.
Sales fall below target	Channels open in sequence so each is proven before the next. Repayments flex with actual profit, so a slow month does not create debt.
Demand proves insufficient	Low operating costs allow the business to keep trading cheaply while it finds its market. If wound down, the equipment is resold to recover part of the loan.

SECTION 15

Summary

BATCH. is a low-overhead way to establish a premium gelato brand in a market that has repeatedly shown it will pay for quality. For a capital loan of R320,000, the business is equipped to produce and sell across four channels, with the capital returned from trading profit by August 2028 and a clear path toward a store thereafter.

The structure is built around a limited risk: the operator keeps their job and draws no salary, fixed costs are minimal, repayments flex with the season, and the main asset holds its resale value. The purpose of this phase is to establish the brand and identify the strongest way to scale it — whether through events, a store, supplying larger businesses, supplying stockists, or a combination.